Circle Financial Model: USDC Growth, Interest Rates and Equity Valuation

Financial forecasts, downside and upside scenarios, and discounted cash flow valuation.

October 14, 2026. Financial actuals through June 30; market reference October 13.

Circle's **$84.27** reference share price exceeds this model's selected equity values. Base value is **$27.65** per share equivalent in the conditional claims benchmark; Upside is **$75.98**. Holding the other Base assumptions fixed, USDC circulation must grow **43.2%** a year from Q4 2026 to reproduce the reference price. The calculations carry no assigned probabilities.

Circle issues USDC, a dollar stablecoin. Holders use it to transfer dollars and pay counterparties, including on trading platforms. Redemption requires eligible channels. Circle holds the backing dollars in cash and short-term investments, earns reserve income, and pays distributors that help bring and retain balances. Shareholders receive the residual after distribution and corporate expenses. Taxes and reinvestment further reduce that residual. A dollar of USDC circulation is not a dollar of equity revenue.

The decision is whether future retained income can justify the equity price. Average reserve balances multiplied by yield determine gross income. The retained percentage determines how much Circle keeps. Earnings then flow through the financial statements and the equity claims. Gross reserve growth alone does not answer the valuation question.

The strongest countercase is that Circle keeps more reserve income and earns recurring fees from payments and Arc without matching expense growth. The Upside case tests stronger retention and services. Arc offers additional potential value; the available disclosures do not yet establish a recurring cash-flow stream for a separate valuation.

The claims benchmark starts with the June 30 award portfolio. Disclosed financing and conditional acquisition shares enter separately. It is not an observed October share count. Distributor percentages and Tazapay's standalone financials remain undisclosed, so the conclusion depends on the stated assumptions.

The Upside comparison is sensitive to terminal cash-flow construction. An illustrative mature-growth roll raises its value to **$84.72**, slightly above the reference price. The valuation-method section explains this calculation and its limits.

Circle retains only part of gross reserve income

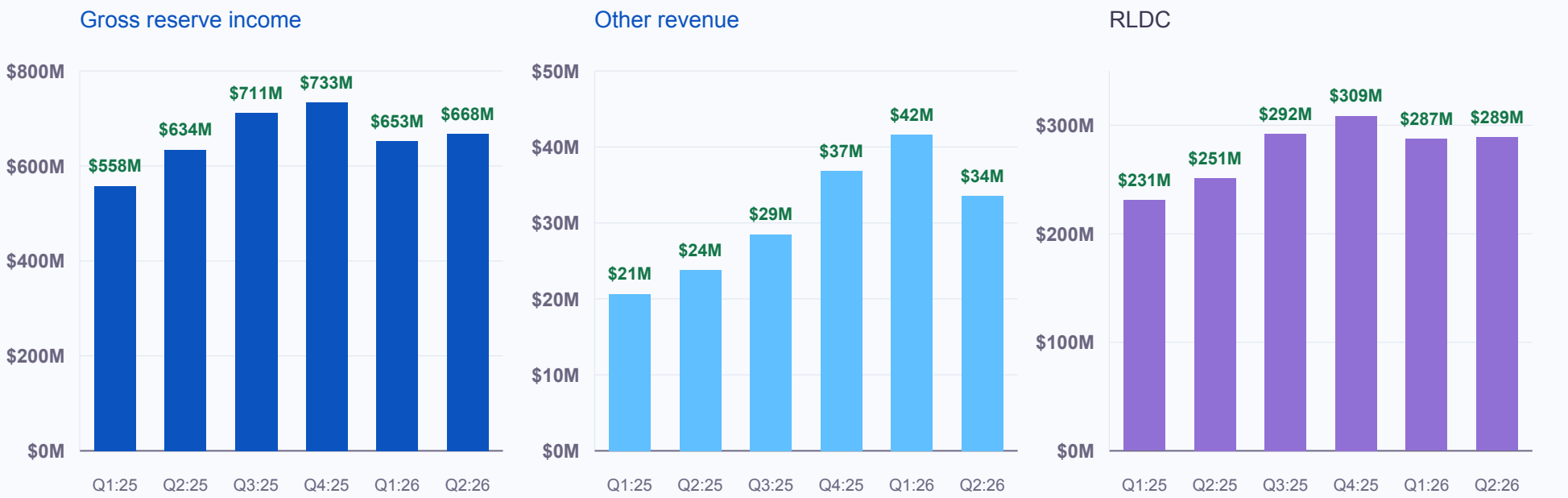
Circle earned Q2 2026 reserve income of **$667.733M** and other revenue of **$33.582M**. Revenue less distribution, transaction, and other costs, or RLDC, was **$288.845M**. That is **41.2%** of revenue and reserve income, compared with **38.2%** a year earlier. RLDC still has to pay corporate operating expenses.

Coinbase distributes USDC and receives part of its reserve economics. Circle confirmed renewal on existing terms on August 5. Aggregate retention is calibrated from reported costs. The precise percentages for each distributor remain undisclosed, and USDC balances earn different partner economics.

Gross reserve income dominates the income mix

How much income remained before corporate operating expenses?

Q1 2025 to Q2 2026 | USD millions per quarter | Independent panel scales



RLDC = reserve income + other revenue − distribution, transaction, and other costs; it is before corporate operating expense.
Q1 periods are H1 less Q2, cross-checked to releases; Q3 2025 is FY less the other quarters. No cash-distribution claim.

Sources: Circle Q2 2026 Form 10-Q; Q4/FY2025 and Q1 2026 earnings releases. Observations through June 30, 2026.

Research cutoff: October 14, 2026

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Q2 2026 reserve income was **$667.733M**, other revenue **$33.582M**, and RLDC **$288.845M**. RLDC was **41.2%** of revenue and reserve income, versus **38.2%** a year earlier.

RLDC remains before corporate operating costs. It measures retained income rather than cash available to shareholders.

Higher retained income supports the equity case only if recurring cash generation and earnings per share improve after corporate costs.

Balance growth offset the fall in reserve yield

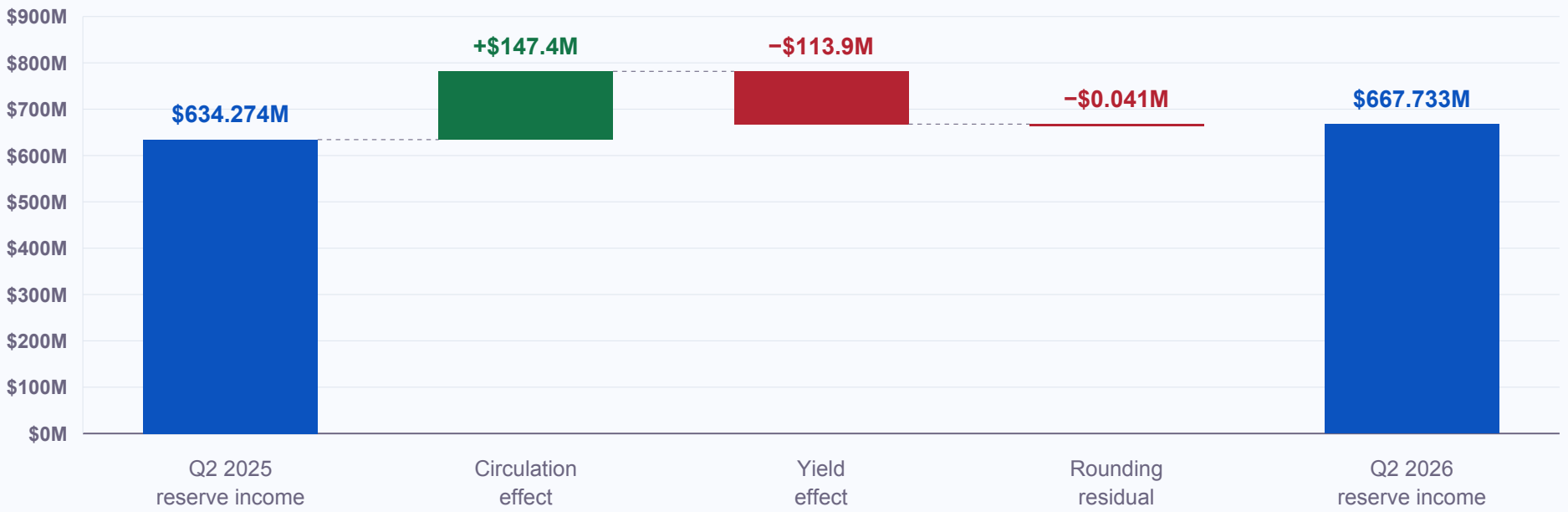
Q2 reserve income increased from **$634.274M** in 2025 to **$667.733M** in 2026. Management attributed **$147.4M** of the change to balances and negative **$113.9M** to yield. The small remaining difference reconciles rounded management attribution to exact reported income.

This bridge explains gross reserve income. It cannot attribute RLDC growth or prove that distribution spending caused balance growth. The shareholder test is whether the income retained on additional balances exceeds the costs of obtaining and servicing them. Lower yields make that test harder when operating costs continue to rise.

Circulation growth more than offset the lower yield

How does management attribute the Q2 year-over-year reserve-income change?

Q2 2025 to Q2 2026 | USD millions | Management attribution; no independent causal identification



Disclosed circulation and yield effects are rounded to **$0.1M**. The **−$0.041M** residual reconciles to exact reported income.
The bridge records management's explanation. The underlying balance and yield calculations have not been independently reproduced.

Source: Circle Q2 2026 Form 10-Q, filed August 5, 2026; USD thousands converted to millions.

Research cutoff: October 14, 2026

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Management attributes most of the offsetting changes to circulation growth and lower reserve yield.

The attribution is management supplied and rounded; the rounding residual has no separately identified business meaning.

Daily average reserves and realized yields should reproduce the disclosed balance and rate effects within the stated rounding.

Presale receipts lifted reported operating cash flow

Circle generated **$538.505M** of net operating cash flow in H1 2026. Removing **$222M** of ARC token presale receipts and **$46.153M** of cash investment in software and property leaves **$270.352M**. Economic compensation and employee share withholding remain outside this residual. Investment purchases also remain outside it.

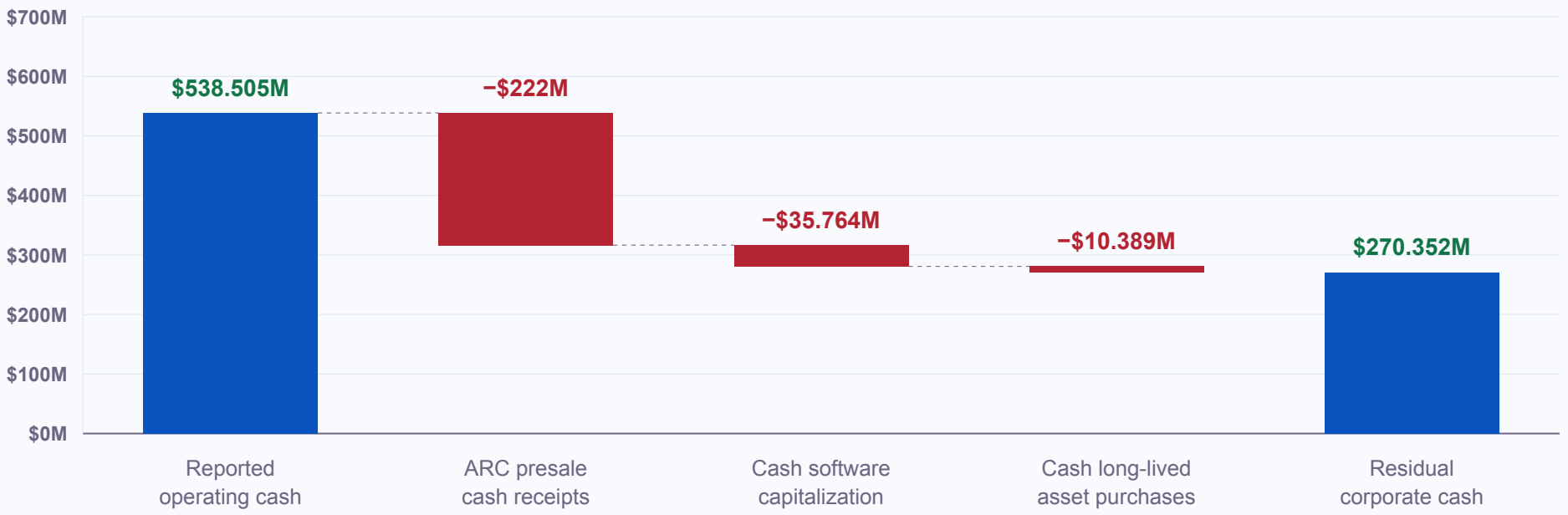
At June 30, the ARC presale accounted for **$242.2M** of deferred revenue, including **$20.2M** not yet collected. The core-only forecast reserves the **$222M** cash receipt.

If delivery conditions remain unmet, the Q2 2028 assumption pays **$222M** cash and cancels the unpaid receivable. Deferred revenue is then removed. Repayment rights include a May 8, 2028 deadline for the proof-of-stake transition. The settlement amount is assumed. Actual legal repayment and delivery outcomes remain unresolved.

Presale receipts explain part of reported operating cash

How much H1 cash remains after removing ARC presale receipts and cash reinvestment?

Six months ended June 30, 2026 | USD millions | Not annualized



Cash capex = **$35.764M** software + **$10.389M** long-lived assets = **$46.153M**; noncash capitalized compensation is outside this bridge. Economic stock compensation is outside this residual. Other investing flows and RSU tax withholding still reduce corporate cash.

Source: Circle Q2 2026 Form 10-Q, filed August 5, 2026; USD thousands converted to millions.

Research cutoff: October 14, 2026

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Removing ARC presale receipts and cash reinvestment leaves **$270.352M** for the six-month period.

The residual precedes economic compensation costs and other corporate cash movements. It does not establish recurring or distributable cash.

Earned token revenue in subsequent filings would replace the settlement assumption. Recurring fees, with their delivery costs, would be needed to support continuing cash flow.

A lower yield raises the growth hurdle

The sensitivity starts with **$73.269B** of headline USDC circulation and a **38.54%** retained share of reserve income. It varies circulation and annual yield separately. At fixed retention, balances must rise in inverse proportion to a yield decline to preserve the same income.

Headline USDC circulation includes Circle's own holdings. In the consolidated forecast, circulation growth scales customer deposits from their opening ratio to USDC. The earning pool averages the separately reported reserve assets for stablecoin holders plus corporate-owned reserves once. Customer redemption amounts in transit have matching reserve assets. The remaining excess reserve buffer stays fixed. This combined pool proxies USDC and EURC backing assets.

Reserve yields follow analyst scenarios. The retained percentage calibrates aggregate economics; Coinbase's private contract rate remains undisclosed. The USDC-only grid excludes EURC. It should not be read as consolidated reserve income.

Balance growth can offset lower yield at fixed capture

What annual USDC reserve income remains after distribution costs under these inputs?

USDC-only model | Annual retained reserve income, USD millions | Fixed capture **38.536%**

USDC

Reserve yield (% per year)

	-10%	0%	10%	20%	30%	40%
2%	$508M	$565M	$621M	$678M	$734M	$791M
2.5%	$635M	$706M	$776M	$847M	$918M	$988M
3%	$762M	$847M	$932M	$1,016M	$1,101M	$1,186M
3.5%	$889M	$988M	$1,087M	$1,186M	$1,285M	$1,384M
4%	$1,016M	$1,129M	$1,242M	$1,355M	$1,468M	$1,581M

Growth in the modeled average USDC balance (%)

Formula: **$73.269B** × (1 + balance growth) × annual yield × **38.536%** capture. Growth changes the full-year average balance.

June 30 USDC is a balance proxy; annual average reserves remain unobserved. Capture uses Q2 distribution costs; private contract rates are unverified. Excludes corporate-held reserves, other revenue, operating cost, compensation, capex, and taxes; not consolidated company income.

Sources: Circle Q2 2026 Form 10-Q for USDC and capture; @demetriusweb3 sensitivity arithmetic, October 14, 2026.

Research cutoff: October 14, 2026 **@demetriusweb3**

Each cell estimates annual retained income from a USDC-only circulation proxy at a fixed retention share.

The proxy excludes EURC and does not reconstruct consolidated earning reserves. Actual partner economics can change.

Actual average reserves and realized yields test the income estimate. Changing retention breaks the fixed-share assumption.

Cash flow diverges as growth and retention compound

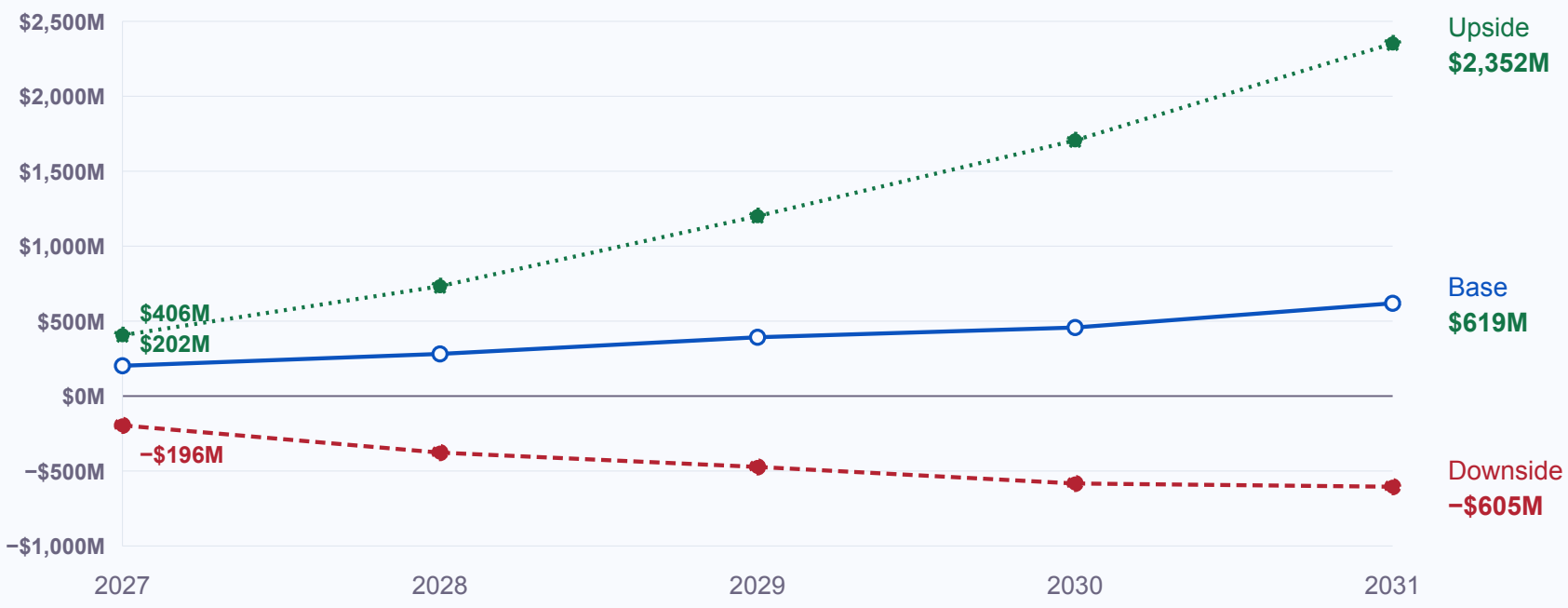
The Base case ends 2031 with **$176.3B** of USDC and **$619M** of annual economic free cash flow. Upside ends with **$302.4B** and **$2.35B**. Downside produces an annual economic cash deficit of **$604.8M** despite **$93.1B** of circulation. The cases vary retention, yield, services, expenses, and compensation together; the spread is not a causal estimate for one driver.

Economic cash flow deducts new recurring share compensation and capitalized awards. Existing award recognition is added back because those claims enter the dated benchmark denominator. Forecast statements retain compensation expense and track physical issuance and withholding separately. Gross benchmark claims and fixed-price cash settlement are distinct conventions; they do not establish exact October dilution.

Economic cash flow depends on growth and retention

Which assumed operating paths cover the cost of running and reinvesting in the business?

FY2027 to FY2031 | Annual economic free cash flow, USD millions | All paths are analyst assumptions



Economic FCF charges new recurring compensation, cash reinvestment, working capital, and cash taxes; old award claims are in dilution.
Base FY2031 context: operating cost ex-SBC/D&A **$1,102M**; expensed SBC **$335M**; cash capex **$181M**.
Operating earnings from Arc and Tazapay are excluded. Scenario paths are neither guidance nor probability intervals.
Source: @demetriusweb3 model, October 14, 2026; calibrated to filings through June 30, 2026.
Research cutoff: October 14, 2026

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Downside cash flow stays negative. Stronger growth and retention support the positive paths after expenses.

These paths are conditional calculations; no assigned probabilities or undisclosed acquired earnings are assumed.

A case needs revision when actual balance growth, retained income, or compensation costs depart from its period-specific inputs.

The reference price exceeds both positive valuation cases

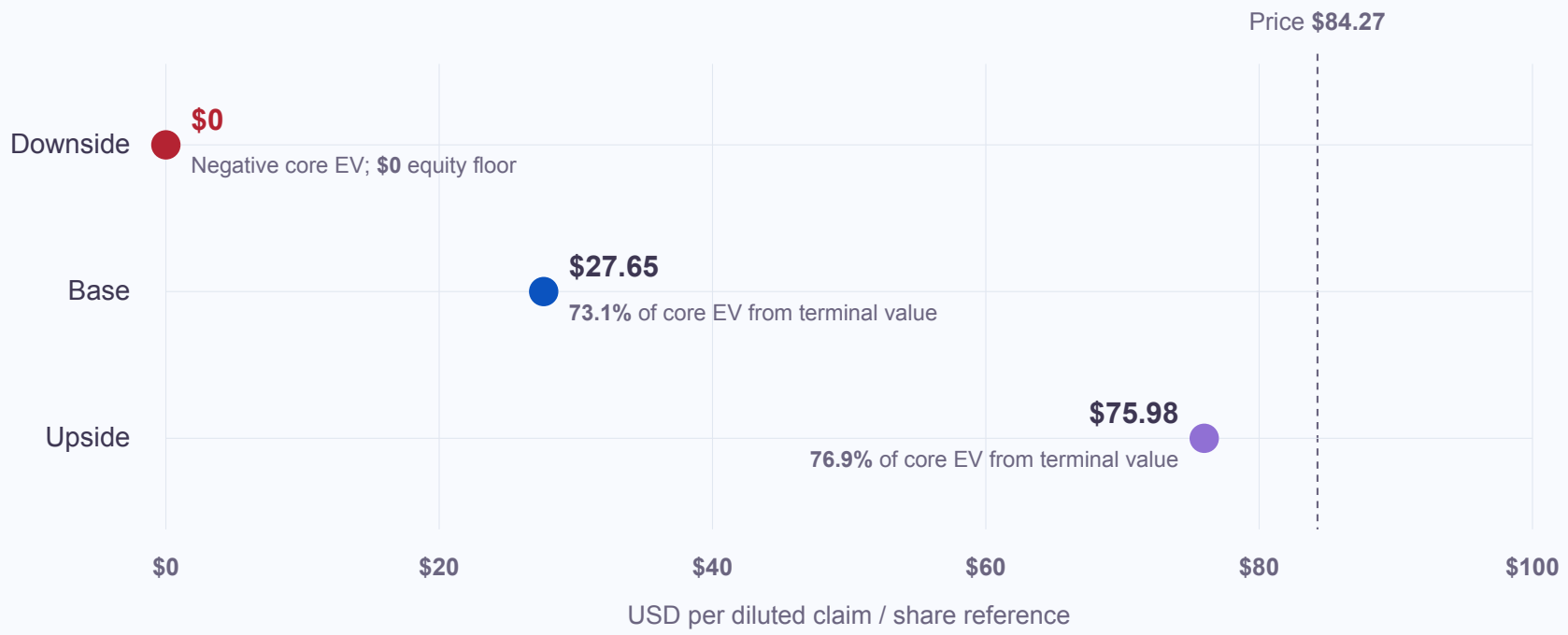
Discounted cash flow, or DCF, discounts future cash to the valuation date. With a **12.14%** required return and **3%** terminal growth, Base equity value is **$7.85B**, or **$27.65** per benchmark claim. Upside is **$21.58B**, or **$75.98**. The denominator is **284.01M** conditional claims, from the dated award portfolio and surviving conditional warrants, with Binance financing and assumed Tazapay seller consideration added.

CRCL closed at **$84.27** on October 13. A uniform **43.20%** annual USDC growth path from Q4 2026 recovers it with other Base drivers fixed. This identifies one combination of required assumptions. Actual market expectations remain unobserved. Downside value is floored at zero under limited liability. Liquidation proceeds are unestimated.

Scenario DCF values against the dated share price

What equity value follows from each cash-flow path and the selected terminal assumptions?

Model USD per diluted claim | Market reference **$84.27**, October 13, 2026 | No probability weights



Downside **$0** is the limited-liability DCF floor after negative modeled equity; it is not a liquidation valuation.
Claims benchmark: June 30 awards plus known financing and conditional acquisition; not an observed October share count.
Core DCF excludes Arc and acquired operating earnings; conditional Tazapay value at closing is a separate analyst assumption.

Sources: @demetriusweb3 model, October 14, 2026; saved price evidence; Circle filings for the claims benchmark.

Research cutoff: October 14, 2026

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Base and Upside values fall below the October 13 reference price under the conditional claims benchmark.

Scenario values are not price forecasts. The zero floor masks a negative raw DCF equity value and says nothing about liquidation proceeds.

Stronger recurring cash earnings or a supported additional business value would close the gap. A different claim count also changes the value per share equivalent.

Most core value lies beyond the explicit forecast

Terminal value contributes **73.1%** of Base core enterprise value and **76.9%** of Upside. Small changes to long-run discounting and growth can therefore move the result substantially. The explicit forecast runs through 2031, with cash flows discounted from October 13, 2026.

The **12.14%** required return equals a **5.21%** nominal ten-year Treasury yield plus an assumed **1.65** beta multiplied by a **4.20%** estimated equity risk premium. Beta measures sensitivity to market risk and is an analyst choice here. The premium is an October 1 estimate applied as a model input. The ten-year yield dates to October 13; reserve earnings use separate shorter-duration yield scenarios.

Discount and terminal rates change the Base valuation

How does Base DCF value change with the selected discount rate and terminal growth?

Base operating path fixed | USD per diluted claim | Discount rate always exceeds terminal growth

Annual terminal cash-flow growth (%)

	9%	10%	11%	12%	13%	14%	15%	16%
1%	$32.2	$29.3	$27.1	$25.2	$23.7	$22.4	$21.3	$20.4
2%	$34.9	$31.3	$28.6	$26.5	$24.7	$23.2	$22	$21
3%	$38.5	$33.9	$30.6	$28	$25.9	$24.2	$22.8	$21.6
4%	$43.5	$37.4	$33.1	$29.8	$27.3	$25.3	$23.7	$22.4

Annual discount rate (%)

Selected model inputs: discount rate **12.14%**; terminal growth **3%**; price reference **$84.27** on October 13, 2026.
Each cell reruns the linked Base DCF with its dated cash bridge. Conditional acquisition claims and the limited-liability floor remain in place.
Rates are valuation assumptions. The grid is not a forecast interval; the claims denominator is a disclosed dated benchmark.

Source: @demetriusweb3 model and saved valuation assumptions, October 14, 2026.

Research cutoff: October 14, 2026

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Base DCF value is sensitive to the required return and perpetual growth assumptions even with operations held fixed.

Operations and claim quantities stay fixed. The grid does not test terminal cash-flow normalization or alternative claim-count methods.

Recalculate when the required return changes. Sustainable cash-flow growth must also support the terminal assumption.

Customer reserves cannot fund shareholder distributions

At June 30, Circle held **$1.730B** of corporate cash and cash equivalents and **$889.311M** of corporate-owned stablecoin reserves. A separate **$73.161B** of cash equivalents in holder reserves backed stablecoin-holder obligations. The model excludes holder assets from excess corporate cash and keeps their liability changes separate from corporate cash flow.

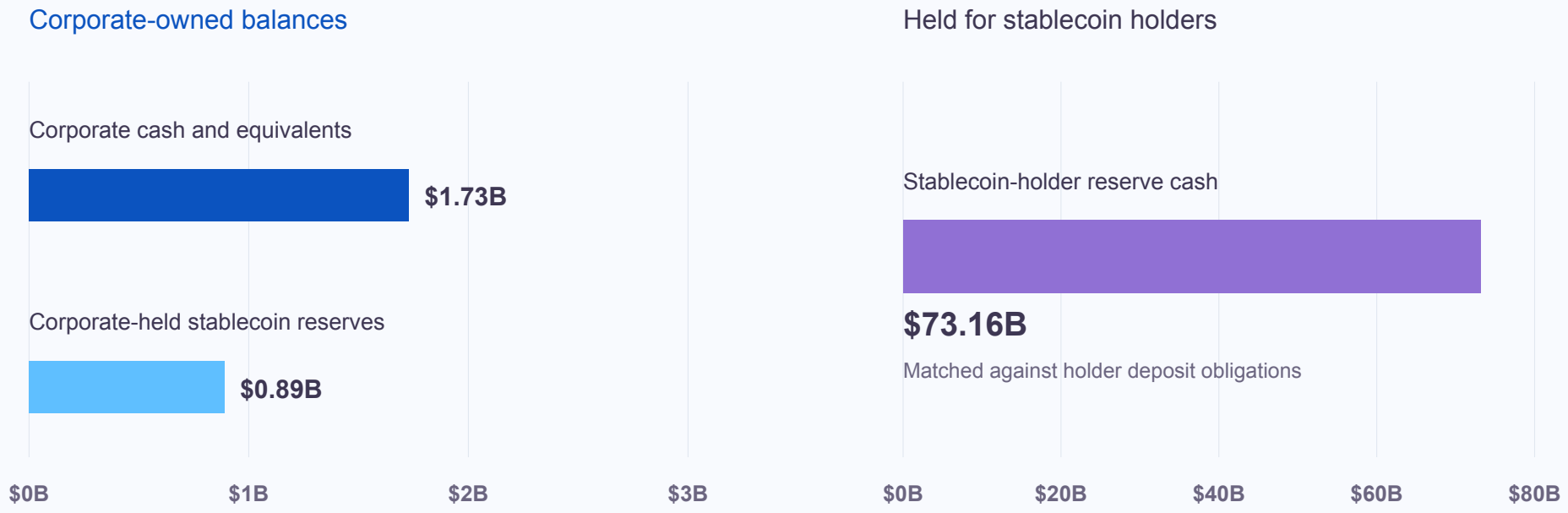
The forecast permits an internal redemption of Circle's own stablecoins at par if corporate payments exhaust nonsegregated cash. Under the selected Downside assumptions, this transfer is unused: 2031 ends with **$63.7M** of corporate cash and **$889.311M** of corporate-held stablecoin reserves. Redemption access at par remains an assumption. Customer backing assets stay outside corporate liquidity.

Valuation excludes income on company-owned reserves from core cash flow because eligible principal enters separately. The associated net receivable enters the equity bridge through an estimated allocation of reserve-interest receivables and distribution payables. October corporate cash is estimated from the June statement.

Holder reserves back separate redemption obligations

Which recorded balances belong to the company and which back stablecoin holders?

June 30, 2026 actual balances | USD billions | Independent scales: corporate **$0B** to **$3B**; holder **$0B** to **$80B**



Corporate-held stablecoin reserves are company-owned and recorded separately from cash; this figure does not assess eligibility or commitments.
Holder reserve cash backs holder deposits. It cannot be added to corporate cash when valuing the equity.

Source: Circle Q2 2026 Form 10-Q, filed August 5, 2026; USD thousands converted to millions.

Research cutoff: October 14, 2026

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Corporate-owned cash and corporate-held stablecoin reserves are much smaller than cash held for stablecoin holders.

The panels use separate scales. Corporate asset categories do not establish unrestricted bank cash or prove access during a redemption disruption.

Later filings must confirm available corporate cash, redemption access, and committed outflows; customer balances cannot fill a corporate funding gap.

Base operating forecast

The financial tables summarize the Base case. The full editable Excel workbook is embedded as a PDF attachment; these tables are fixed snapshots.

All columns are complete forecast years. Run rates describe the December 31 operating base.

Base operating forecast

Base case | 2027E to 2031E

USD millions | Run rates in USD M/year | Rates in % | Forecast stocks and flows

Metric	2027E	2028E	2029E	2030E	2031E
USDC circulation, year-end	**98,271.7**	**117,985**	**138,042.5**	**157,368.4**	**176,252.6**
Annualized USDC growth (ACT/365)	**25%**	**20%**	**17%**	**14%**	**12%**
Effective earning-reserve yield	**3.1%**	**3%**	**3%**	**3%**	**3%**
Reserve-income retention	**39.5%**	**40.5%**	**41.5%**	**42%**	**42.5%**
Subscription run rate, year-end	**180**	**243.2**	**316.1**	**395.1**	**474.2**
Transaction run rate, year-end	**31**	**38.8**	**46.6**	**54.9**	**63.2**
Annual service and other revenue	**180.7**	**246.3**	**323.1**	**407.3**	**494.8**
Operating expense run rate excluding SBC and D&A	**796.3**	**892.2**	**981.4**	**1,059.9**	**1,144.7**
Cash software and PPE capital expenditure	**-99.9**	**-119**	**-140.4**	**-159.3**	**-181.5**
Expensed share compensation	**-236**	**-260.7**	**-285**	**-310**	**-335**
New capitalized share compensation	**-25.2**	**-33.7**	**-46.8**	**-68.2**	**-73.7**
Corporate-owned USDC, year-end	**889.3**	**889.3**	**889.3**	**889.3**	**889.3**

Costs and outflows are deductions. A dash denotes zero at the displayed precision.
Source: Circle financial model workbook, Model worksheet, Base case; actuals through June 30, 2026.

Model cutoff: October 14, 2026

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Year-end run rates use USD M/year; other amounts use USD M. Yield divides annual reserve income by earning assets weighted by ACT/365 exposure. Retention is weighted by reserve income. 2028 contains **366** days.

Reserve growth feeds retained income in Base. Distributor contract percentages remain undisclosed. Realized growth, reserve yield or retained-income share below Base would weaken this projection.

Base annual income statement

Forecast book earnings include corporate bank interest and the retained yield on corporate-owned USDC.

Base annual income statement

Base case | 2027E to 2031E

USD millions | Annual forecast flows | RLDC margin in %

Metric	2027E	2028E	2029E	2030E	2031E
Reserve income	2,754.2	3,265.9	3,859.5	4,448.7	5,020.4
Subscription and service revenue	152.9	210.8	279.6	355.6	434.6
Transaction revenue	27.3	34.9	42.7	50.7	59.1
Other recurring revenue	0.5	0.6	0.8	0.9	1.1
Total revenue and reserve income	2,934.9	3,512.3	4,182.6	4,856	5,515.2
Distribution and transaction costs	-1,666.3	-1,943.2	-2,257.8	-2,580.3	-2,886.7
Other service costs	-9	-12.3	-16.2	-20.4	-24.7
Revenue less distribution costs	1,259.6	1,556.7	1,908.6	2,255.4	2,603.7
RLDC / total revenue and reserve income	42.9%	44.3%	45.6%	46.4%	47.2%
Operating expense excluding SBC and D&A	-752.9	-845.8	-936.8	-1,020.7	-1,102.3
Expensed share compensation	-236	-260.7	-285	-310	-335
Acquisition employee incentive expense	-3.1	-6.3	-6.2	-6.2	-3.1
Depreciation and amortization	-133.8	-117.4	-157.5	-188.9	-217.4
Other event expense	-	-	-	-	-
Operating income	133.7	326.6	523.1	729.6	945.9
Interest on corporate bank cash	63	65.5	69.6	86.3	110
Pretax income	196.7	392.1	592.7	815.9	1,055.9
Income tax expense	-49.2	-98	-148.2	-204	-264
Net income	147.5	294	444.6	611.9	792
Existing expensed SBC added back in DCF	121.5	107.5	72.6	-	-
New SBC economic cost, expense plus capital	-139.6	-186.9	-259.2	-378.2	-408.7
Economic free cash flow used in DCF	202.2	281.3	392.4	457.3	619

Costs and outflows are deductions. A dash denotes zero at the displayed precision.
Source: Circle financial model workbook, Model worksheet, Base case; actuals through June 30, 2026.

Model cutoff: October 14, 2026

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Amounts use USD M. The RLDC margin is a percentage. DCF excludes bank interest and owned-USDC yield because eligible principal is valued separately. Existing SBC is added back because its claims enter the denominator. New expensed SBC remains an operating cost; new capitalized SBC is reinvestment. Economic FCF deducts cash capex and core working-capital growth.

Annual earnings and economic FCF show income after corporate costs. Forecast earnings do not demonstrate recurring cash conversion. Core FCF below Base after costs and new SBC would weaken the earnings case.

Base year-end balance sheet

December 31 forecast stocks separate corporate assets from the reserves backing stablecoin-holder obligations.

Base year-end balance sheet

Base case | 2027E to 2031E

USD millions | Year-end forecast balances

Metric	2027E	2028E	2029E	2030E	2031E
Corporate bank cash	**2,188.2**	**2,321.2**	**2,875.1**	**3,668.1**	**4,663.2**
Corporate-owned USDC	**889.3**	**889.3**	**889.3**	**889.3**	**889.3**
Total receivables	**140.5**	**152.6**	**189.4**	**229.2**	**268.9**
Prepaid and other current assets	**312.4**	**347.9**	**385.7**	**432.7**	**478.7**
PPE and intangible assets, net	**488.3**	**547.4**	**593.1**	**631.8**	**669.6**
Investments and digital assets	**210.3**	**210.3**	**210.3**	**210.3**	**210.3**
Goodwill and conditional acquired assets	**665.7**	**665.7**	**665.7**	**665.7**	**665.7**
Restricted cash, DTA and other assets	**51**	**51**	**51**	**51**	**51**
Corporate assets	**4,945.9**	**5,185.6**	**5,859.7**	**6,778.1**	**7,896.8**
Stablecoin-holder reserve assets	**98,098.2**	**117,759.7**	**137,764.5**	**157,039.7**	**175,874.3**
Total assets	**103,044.1**	**122,945.3**	**143,624.2**	**163,817.8**	**183,771.1**
Corporate payables, excluding redemption transit	**304.1**	**339.6**	**374.9**	**414.2**	**453.5**
Other current liabilities, including ARC	**256**	**13.8**	**13.8**	**13.8**	**13.8**
Debt, deferred tax and other liabilities	**53.3**	**53.3**	**53.3**	**53.3**	**53.3**
Corporate liabilities	**613.4**	**406.8**	**442.1**	**481.3**	**520.7**
Holder deposits and redemption transit	**98,013.6**	**117,675.1**	**137,679.9**	**156,955.1**	**175,789.7**
Total liabilities	**98,627.1**	**118,081.9**	**138,122**	**157,436.4**	**176,310.4**
Additional paid-in capital	**5,384.3**	**5,536.6**	**5,730.8**	**5,998.1**	**6,285.4**
Accumulated earnings / deficit	**-972.4**	**-678.4**	**-233.8**	**378.1**	**1,170**
Other common equity, AOCI and NCI	**5.2**	**5.2**	**5.2**	**5.2**	**5.2**
Total equity	**4,417.1**	**4,863.5**	**5,502.2**	**6,381.4**	**7,460.7**
Total liabilities and equity	**103,044.1**	**122,945.3**	**143,624.2**	**163,817.8**	**183,771.1**
Assets less liabilities and equity	**-**	**-**	**-**	**-**	**-**

Costs and outflows are deductions. A dash denotes zero at the displayed precision.
Source: Circle financial model workbook, Model worksheet, Base case; actuals through June 30, 2026.

Model cutoff: October 14, 2026

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Balance-sheet amounts use USD M. Corporate payables exclude redemption transit, which is grouped with holder deposits. Other assets comprise restricted cash, deferred tax assets and other non-current assets. Other liabilities comprise debt, deferred tax liabilities and other non-current liabilities.

These year-end stocks reconcile assets with obligations and equity. Custody reserves remain unavailable for corporate spending. Lower excess corporate cash or uncovered holder obligations would weaken the balance assumptions.

Base annual cash flow

Corporate cash flow funds the bank account. Internal USDC redemption moves cash between company-owned pools.

Base annual cash flow

Base case | 2027E to 2031E

USD millions | Annual corporate and custody forecast cash flows

Metric	2027E	2028E	2029E	2030E	2031E
Corporate bank cash, opening	1,947.6	2,188.2	2,321.2	2,875.1	3,668.1
Net income	147.5	294	444.6	611.9	792
D&A and noncash compensation add-backs	372.9	384.3	448.7	505.1	555.5
Book working-capital cash impact	-22.4	-32.3	-39.2	-47.5	-46.4
Conditional ARC cash repayment	-	-222	-	-	-
Corporate cash from operations	498	424.1	854.1	1,069.5	1,301.1
Cash software capital expenditure	-77.4	-92.8	-110.1	-125.7	-142.6
Cash PPE capital expenditure	-22.5	-26.3	-30.4	-33.7	-38.9
Corporate cash used in investing	-99.9	-119	-140.4	-159.3	-181.5
Cash remitted for share withholding	-157.5	-172	-159.8	-117.2	-124.5
Corporate cash from financing	-157.5	-172	-159.8	-117.2	-124.5
Net external corporate cash flow	240.6	133	553.9	793	995.1
Internal corporate-USDC redemption	-	-	-	-	-
Corporate bank cash, closing	2,188.2	2,321.2	2,875.1	3,668.1	4,663.2
Bank cash roll-forward difference	-	-	-	-	-
Corporate-owned USDC, opening	889.3	889.3	889.3	889.3	889.3
Corporate-owned USDC, closing	889.3	889.3	889.3	889.3	889.3
Corporate cash-equivalent change	240.6	133	553.9	793	995.1
Cash from holder deposits and redemption transit	19,602.7	19,661.5	20,004.8	19,275.2	18,834.6
Increase in holder reserve cash	19,602.7	19,661.5	20,004.8	19,275.2	18,834.6
Custody financing less reserve cash increase	-	-	-	-	-
Statement-format combined cash-pool change	19,843.3	19,794.5	20,558.7	20,068.2	19,829.7
Combined cash-pool roll-forward difference	-	-	-	-	-

Costs and outflows are deductions. A dash denotes zero at the displayed precision.
Source: Circle financial model workbook, Model worksheet, Base case; actuals through June 30, 2026.

Model cutoff: October 14, 2026

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Cash-flow amounts use USD M. Share withholding explains financing outflows in these forecast years. Corporate cash equivalents combine bank cash and company-owned USDC. The combined cash pool also includes holder reserves and restricted cash.

The cash flows separate company funding from custody cash. ARC repayment remains conditional. Corporate CFO below Base or a different ARC cash settlement would weaken the cash projection.

Base DCF and equity bridge

Discount rate **12.14%**. Terminal growth **3.00%**. Reference closing price **$84.27** on October 13, 2026.

Base DCF and equity bridge

Base case | October 13, 2026 valuation reference

USD millions | Claims in millions | Value per claim in USD

Discount rate	Terminal growth	Reference closing price	Terminal value / core EV
12.14%	**3%**	**$84.27**	**73.1%**

Metric	Value
Explicit forecast present value	**1,408.7**
Terminal present value	**3,836.2**
Core enterprise value	**5,244.9**
Corporate bank cash at valuation date	**1,896.6**
Corporate-owned USDC	**889.3**
Allocated owned-reserve net working capital	**1**
Operating liquidity buffer	**-355.5**
Reserved ARC cash	**-222**
Modeled excess corporate cash	**2,209.4**
Investment value after haircut	**51.9**
Assumed Tazapay value, present value	**368.6**
Conditional employee incentive claim	**-23**
Debt	**-**
Unfloored equity value	**7,851.8**
Conditional equity value after floor	**7,851.8**
June portfolio plus September financing	**279.3**
Conditional acquisition stock claims	**4.7**
Conditional benchmark diluted claims	**284**
Value per benchmark claim	**$27.65**

Costs and outflows are deductions. A dash denotes zero at the displayed precision.
Source: Circle financial model workbook, Valuation worksheet; Base case and dated conditional claims benchmark.

Model cutoff: October 14, 2026 **@demetriusweb3**

The bridge uses USD M, except M shares and USD/share. Explicit forecast value includes the remaining **79** days of Q4 2026 and the 2027-2031 forecast. The June surviving award portfolio is a dated benchmark. Conditional acquisition commitments enter the denominator.

Terminal value supplies **73.1%** of core enterprise value. October point dilution remains unknown. Sustained core FCF below Base or higher capex and SBC reinvestment would weaken the **$27.65** estimate.

Valuation conventions and method sensitivities

The terminal calculation grows 2031 economic cash flow by **3%** without separately resetting reinvestment or operating margins for a mature business. An illustrative 2032 cohort roll instead sets USDC, service revenue and operating expense growth to **3%**, raises annual share compensation at the same rate, and retains final-year yields, retention, capital-investment ratios and asset lives. With ACT/365 leap-year exposure, this gives **$29.86** per benchmark claim in Base and **$84.72** in Upside. This calculation illustrates sensitivity to method. It does not establish a replacement target. The narrow Upside price gap is therefore sensitive to terminal normalization.

The claim count is a dated benchmark. Option and warrant net shares use the **$84.27** reference price. Holding aggregate equity value fixed, an intrinsic treasury calculation at the resulting share value gives **$28.27** in Base. It omits option time value and does not resolve performance conditions. Exact October awards and shares remain unknown.

Existing award recognition is added back because the benchmark includes those claims; new compensation remains an economic cost. The expense-versus-capital split of **$443.6M** remaining award cost is inferred from historical capitalization. The filing does not disclose that future split. The physical issuance schedule is separate from this valuation convention.

The fixed-price withholding schedule and gross June RSU benchmark do not describe one exact October settlement model. Removing only modeled future withheld legacy shares and deducting the associated cash remittances gives an illustrative Base value of **$27.02**. This calculation holds the rest of the benchmark portfolio fixed and leaves prior vesting, settlement prices and actual October awards unresolved.

Digital assets of **$106.539M** stay outside core earnings and receive zero value in the selected equity bridge. This is a conservative exclusion assumption. Including their full carrying value would add **$0.38** per benchmark claim; carrying value does not establish realizable proceeds. The finite old-asset tax benefit is not separately removed from terminal cash flow; its upper-bound effect is below **$0.01** per claim.

Model mechanics and assumptions

Forecasts run quarterly from Q3 2026 through Q2 2028. H2 2028 is one six-month period; 2029 through 2031 are annual. Q3 2026 is estimated and precedes the valuation date, so its cash flow is excluded from DCF. The remaining **79** days of Q4 enter the initial discounted cash flow.

Base assumes **15%** annualized USDC growth in H2 2026. Annual growth is **25%** in 2027, followed by **20%** in 2028.

Base growth then falls to **17%** in 2029; **14%** in 2030; **12%** in 2031. Retention rises from **38.54%** to **42.5%**.

Base reserve yield falls from **3.5%** to **3.1%**, then **3%**. Subscription growth declines from **40%** in 2027 to **20%** in 2031.

Upside assumes USDC growth of **40%** in 2027 and **35%** in 2028. It reaches **30%** in 2029, then **25%** in 2030. Upside growth slows to **20%** in 2031. Retention reaches **50%**, and yield stabilizes at **3.4%**.

Downside growth is **5%** in 2027 and **6%** thereafter, with retention of **30%** and yield of **2%**. Each case retains explicit operating expense and compensation assumptions.

Forecast cash taxes use an assumed normalized **25%** rate on positive pretax income. New tax-loss assets and cash tax refunds are not assumed.

Operating receivables scale with service revenue. Operating prepaid costs follow expense; corporate payables follow expense plus share compensation. Reserve-interest receivables and distribution payables follow their associated annualized flows. These are forecast assumptions applied to separately identified balances.

Customer redemptions in transit scale with deposits and carry matching reserve assets. Tax balances and specified nonordinary receivables stay fixed. ARC receivables and deferred revenue have a separate settlement schedule. Core DCF excludes the estimated own-reserve portion of working-capital changes; the book cash-flow statement retains all corporate changes.

New software and property investment use three-year and five-year lives with midperiod commissioning. Existing intangible amortization follows the filing through 2030. The **$1.663M** allocation in 2031 is an analyst assumption from the disclosed **$14.380M** thereafter total.

Economic free cash flow starts with core operating profit after tax, adds depreciation and amortization and existing expensed award recognition, and deducts cash investment. New capitalized share awards and operating working-capital changes also reduce it. Company-owned reserve income, bank interest, and specified transaction items are excluded from core operating value.

Equity claims and transaction treatment

Binance closed a **$100M** gross financing for **1,237,011** Class A shares on September 17. The model uses the disclosed cash and shares once. Transaction fees are set to zero as an explicit assumption. The new five-year incentive contract has undisclosed payment percentages; its economics enter aggregate retention scenarios.

Circle entered the Tazapay agreement for **$400M** of adjusted stock consideration, with separate employee incentive awards of **$25M** after closing. Closing remains subject to regulatory approvals and is expected in 2027. Assumed closing is June 30, 2027. Transaction volume-weighted average price, or VWAP, is fixed at **$84.27**. No indemnity deductions are assumed; **92%** of seller consideration issues initially, with the remaining **8%** released on dated schedules.

The **5%** holdback releases in thirds: at six months; twelve months; eighteen months. The **3%** holdback releases in quarters: at twelve months; twenty-four months; thirty-six months; forty-eight months. All conditional seller claims enter the valuation even if their release falls beyond the explicit forecast. Employee awards vest in eight quarterly tranches beginning twenty-seven months after close; expense is assumed to accrue over forty-eight months.

Tazapay financials and the purchase-price allocation are unavailable in this evidence set. The balance sheet therefore carries an unallocated acquired-net-asset pool. Incremental target earnings are set to zero. The acquired business carries a separate assumed value of **$400M** at closing. That transaction-value assumption is exposed; it is not a forecast of target cash flow.

Valuation starts with **252.740M** common shares outstanding at June 30, derived from the equity rollforward after treasury shares. Ending restricted stock units (RSUs) enter separately, as do options. The treasury method assumes exercise and uses strike proceeds to repurchase shares. It converts in-the-money options and surviving warrants into net share equivalents using the reference price and disclosed exercise prices. It removes expired and already exercised warrants. A further **0.3M** unissued business-combination shares enters once. Shares already issued for acquisitions remain in the basic count.

The conditional benchmark then adds Binance financing and all assumed Tazapay seller shares. Exact October dilution remains unobserved. Forecast earnings per share, or EPS, uses the July 30 cover count and subsequent modeled issuance; historical weighted-average EPS shares are a separate denominator.

Eligible corporate principal, with the estimated own-reserve net receivable, is reduced by a six-month operating liquidity buffer and the reserved ARC cash. Non-operating investments receive a **50%** haircut. Conditional acquired value and the separate employee claim are discounted to the valuation date. Customer reserves never enter this equity-value bridge.

The CFO transition creates a conditional **$1.05M** future cash payment. The forecast assumes payment in one period. Accelerating two months of existing RSU vesting changes recognition and issuance timing; it does not create a new grant of claims.

What would change the conclusion

Higher retention and recurring service profits would justify a stronger valuation than Base. Distributor incentives can attract balances, yet competing issuers can bid for the same distribution, leaving Circle with less income per dollar of reserves. Coinbase earns part of the economics and benefits from keeping USDC widely used. These incentives support expansion without guaranteeing a larger retained share. No peer multiple enters this valuation.

The strongest failure path begins with slower balance growth and lower yields while spending continues. Redemptions reduce earning reserves while operating expense and compensation persist. Persistent cash losses consume corporate principal, and new financing can dilute existing shareholders. Customers retain their redemption claims; shareholders bear the residual loss. Falling profitability can then constrain distribution spending and slow growth further. Expense cuts or recurring service profits would interrupt that feedback. The zero DCF floor does not price those responses or a business sale.

Monitor reported average USDC balances, realized reserve yield, retained reserve income, subscription and transaction revenue, and compensation-adjusted corporate cash generation. Compare each release with the period-specific workbook assumptions. Revisit Base if retention falls below its **39.5%** 2027 assumption or growth falls below **25%** without offsetting service profits.

For an Arc value case, require earned recurring fees and identifiable paying customers. Repeat usage and delivery costs must support the profit estimate. Token receipts and transaction counts alone do not establish recurring equity cash flow. For Tazapay, require a completed closing, actual VWAP and adjustments, target earnings, and a purchase-price allocation before replacing the conditional transaction-value assumption.

Circle announced the results date for November 4, 2026. Replace estimated Q3 earnings with the release. Update cash and shares before testing the growth path. Reopen the valuation within five business days of the release or a material financing update. Beyond that date, the present calculation is stale for an investment decision. A Tazapay closing is a separate conditional catalyst; its effect depends on actual consideration and acquired earnings.

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